HYPOTHETICAL BACKTEST – NOT A FUND, NOT AN OFFER

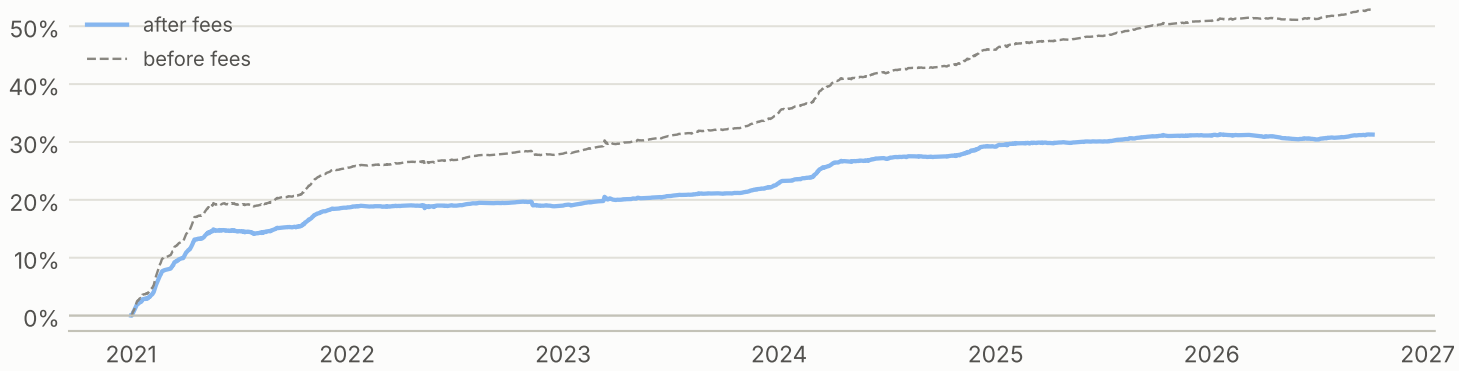
# Hypothetical backtest: BTC carry, USD class

Market-neutral bitcoin carry: long spot BTC held at a custodian, short USDT-margined perpetuals on Binance and Bybit at 2x. Simulated on public data with assumed fees.

Period 2021-01-01 to 2026-09-30 | NAV and returns in USD, after assumed fees | daily valuation at 17:00 UTC

| Annualised return | Volatility (daily, annualised) | Sharpe vs SOFR (95% interval) |
|---|---|---|
| **+4.9%** | **1.0%** | **0.22 (−0.3 to 0.7)** |
| **Max drawdown** | **Positive months** | **Beta to BTC (master, daily)** |
| **−0.7%** | **83%** | **0.00** |

Cumulative return in USD




## Monthly returns in USD (after fees)

| | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | Nov | Dec | Year |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 2021 | +3.2 | +4.6 | +2.1 | +2.9 | +1.3 | −0.2 | −0.3 | +0.6 | +0.3 | +1.3 | +1.3 | +0.3 | **+18.6** |
| 2022 | +0.2 | −0.1 | +0.1 | +0.1 | 0.0 | 0.0 | +0.3 | 0.0 | +0.1 | +0.1 | −0.5 | 0.0 | **+0.3** |
| 2023 | +0.3 | +0.3 | +0.2 | +0.2 | +0.1 | +0.2 | +0.2 | +0.2 | 0.0 | +0.1 | +0.5 | +0.8 | **+3.3** |
| 2024 | +0.6 | +0.6 | +1.6 | +0.3 | +0.2 | +0.2 | +0.3 | 0.0 | 0.0 | +0.2 | +0.8 | +0.4 | **+5.2** |
| 2025 | +0.4 | 0.0 | +0.1 | 0.0 | +0.1 | 0.0 | +0.3 | +0.2 | +0.2 | 0.0 | +0.1 | 0.0 | **+1.5** |
| 2026 | +0.1 | 0.0 | −0.3 | −0.2 | −0.1 | −0.1 | +0.3 | +0.3 | +0.1 | | | | **+0.1** |

## Assumed terms

| | |
|---|---|
| Class currency | USD |
| Currency treatment | None: USDT converted at the previous day's Coinbase USDT-USD close, so the class carries the USDT peg. |
| Fees (assumed) | 1.5% management a year; 20% performance above a high-water mark, crystallised quarterly |
| Fees paid | 2.61% of assets a year |
| Before fees | +7.7% a year |
| Risk-free rate | SOFR |

## Strategy and risks

Master, before fees: 7.7% a year since Jan 2021; worst day −0.16% (2022-11-10); worst drawdown −0.6%.

Leverage 2x on the short leg, a trade-off chosen in-sample: modelled annual liquidation probability 1.1% (target margin) to 3.9% (band edge) with a 4h top-up, above a 1% reference level; the band-edge figure rests on the fitted tail. At 1x the master earned 5.8% a year before fees, against 7.7%.

Venue risk: about 33% of master NAV sits as margin at two exchanges. Had one failed on FTX's petition date with FTX's class 5A recovery, this class would have lost 3.0% of NAV.

The carry moves in regimes: the master earned less than USD cash (SOFR) in 2025 and 2026 (to Sep).

## All share classes, after fees

| Class | Return | Volatility | Sharpe | Max drawdown | Fees paid | Before fees |
|---|---|---|---|---|---|---|
| USDT (in USDT) | +4.9% | 0.8% | 0.23 | −0.7% | 2.61% | +7.7% |
| **USD (in USD)** | **+4.9%** | **1.0%** | **0.22** | **−0.7%** | **2.61%** | **+7.7%** |
| JPY hedged (in JPY) | +2.1% | 1.0% | 0.31 | −5.4% | 2.22% | +4.4% |
| KRW hedged (in KRW) | +4.3% | 1.0% | 0.25 | −1.4% | 2.51% | +7.0% |
| BTC hedged (in BTC) | −7.1% | 2.0% | −1.84 | −34.6% | 1.50% | −5.7% |

Sharpe ratios: monthly excess returns over each class's own short rate (zero for BTC), annualised allowing for their autocorrelation (Lo 2002), so they are not return divided by the daily volatility shown. Volatility: daily returns annualised.

Hypothetical backtest on public data with assumed fees and costs. It is not a fund, a track record, an offer or a solicitation, and it does not describe any firm's products or terms. Past and simulated returns do not predict future returns. Legal, tax and regulatory feasibility is not assessed.